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Investor Presentation | Asia Pacific

China's Outlook amid AI and Energy Super-Cycle

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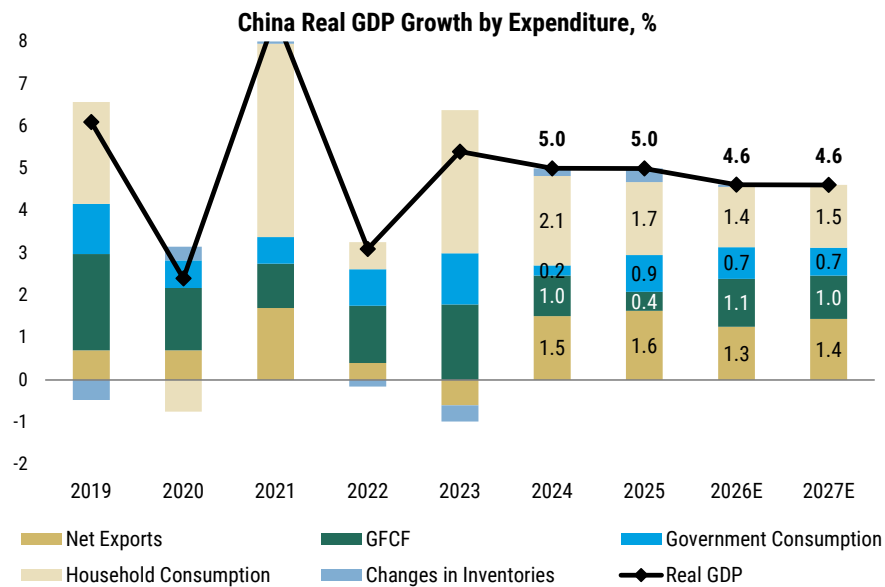


For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

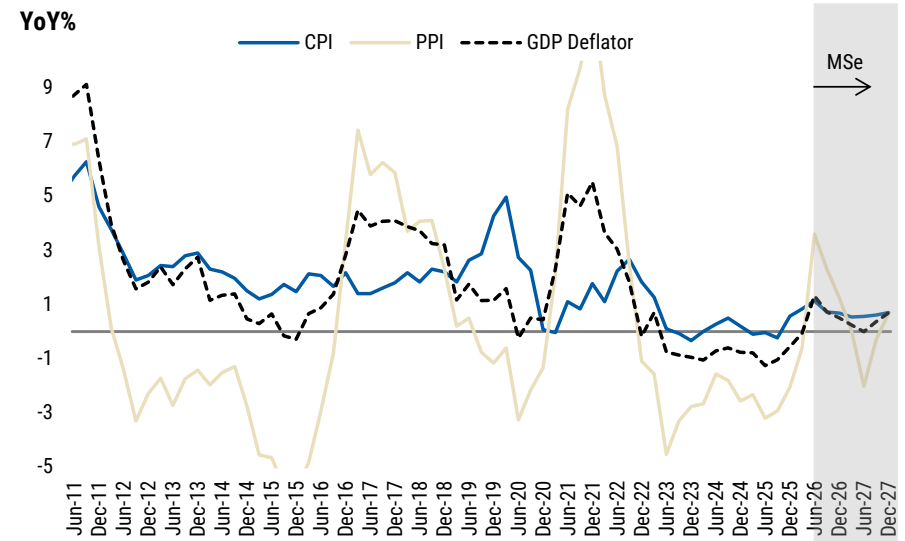
Economic Outlook

A Two-speed Economy, Stable in Aggregate

Exports driving growth
amid AI and energy capex super-cycle



Inflation is rising but reflation is narrow



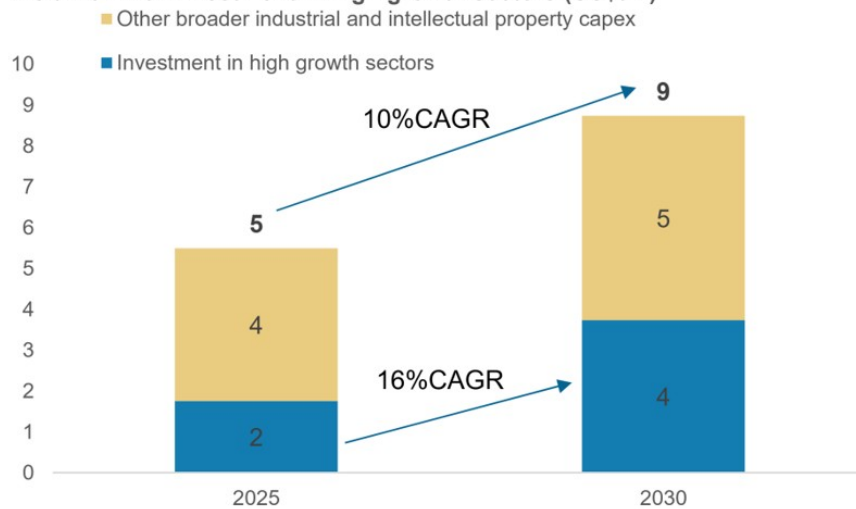
Source: CEIC, Morgan Stanley Research estimates.

Economic Outlook

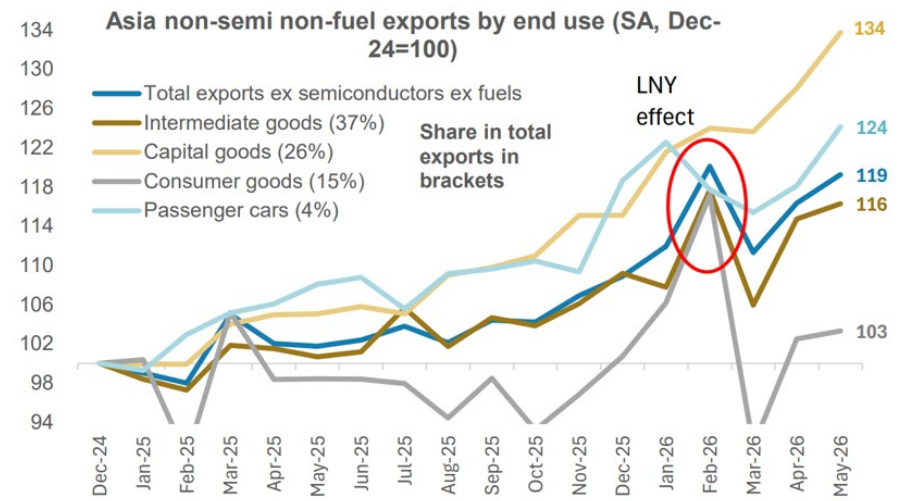
Asia's Industrial Super-cycle...

Asia is likely to enter its strongest industrial cycle since the mid-2000s, not just an AI/tech story

Asia nominal investment in high growth sectors (US\$trn)



The recovery in non-tech exports has been broad-based

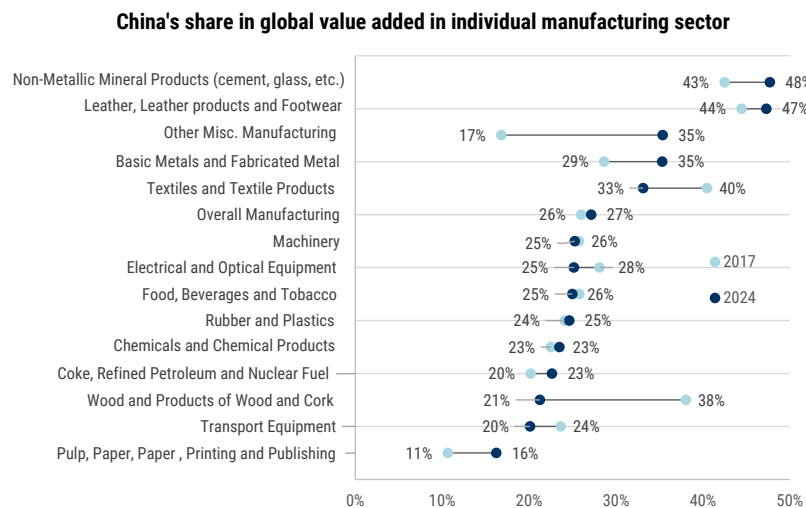


Source: Haver, Morgan Stanley Research estimates.

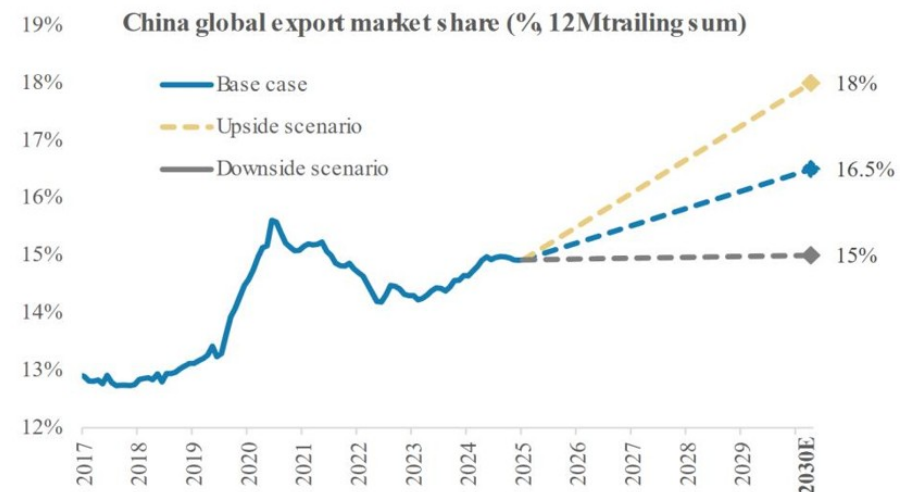
Economic Outlook

...Is Set to Benefit China's Exports, Anchoring Growth Momentum

China has a dominant share in global value-added across manufacturing sectors



We expect China's global export market share to rise to 16.5% by 2030



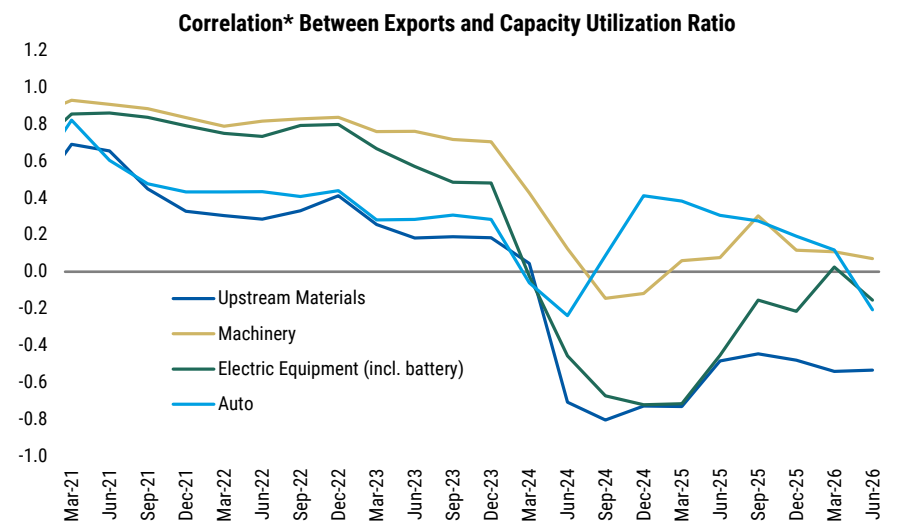
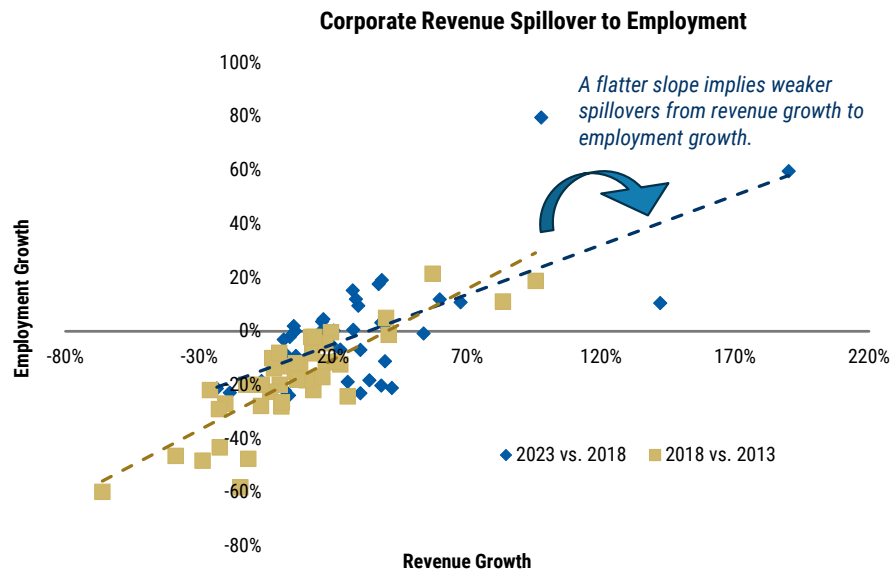
Source: CEIC, Morgan Stanley Research estimates. For more details, see [Asia Economics: Why China will widen its lead in global manufacturing exports](#) (7 Dec 2025).

Economic Outlook

That Said, the Positive Spillover to the Broader Economy Could Be Milder This Time

Employment may get less boost as the industrial sector becomes more capital-intensive and automated

Reduced transmission effect of export strength to capex given pervasive excess capacity

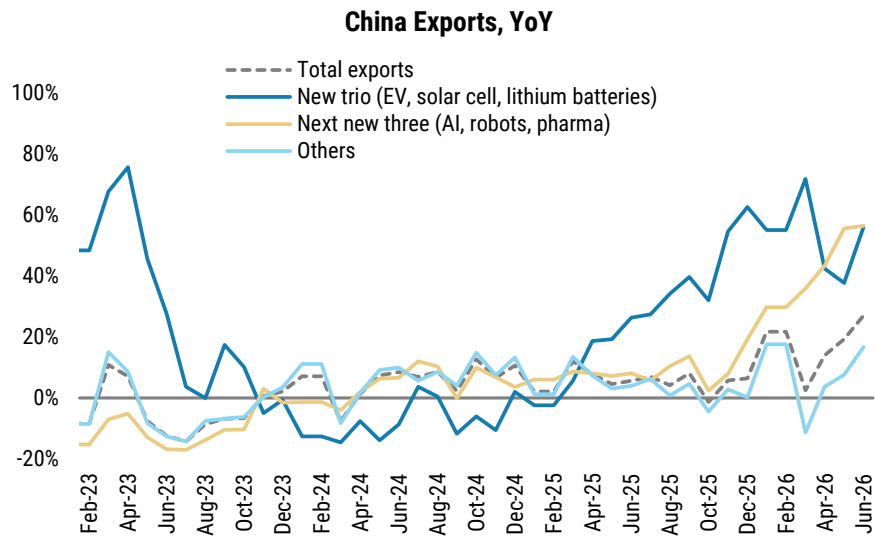


Source: NBS, Economic Census, Morgan Stanley Research. Note: RHS: 3-year rolling correlation.

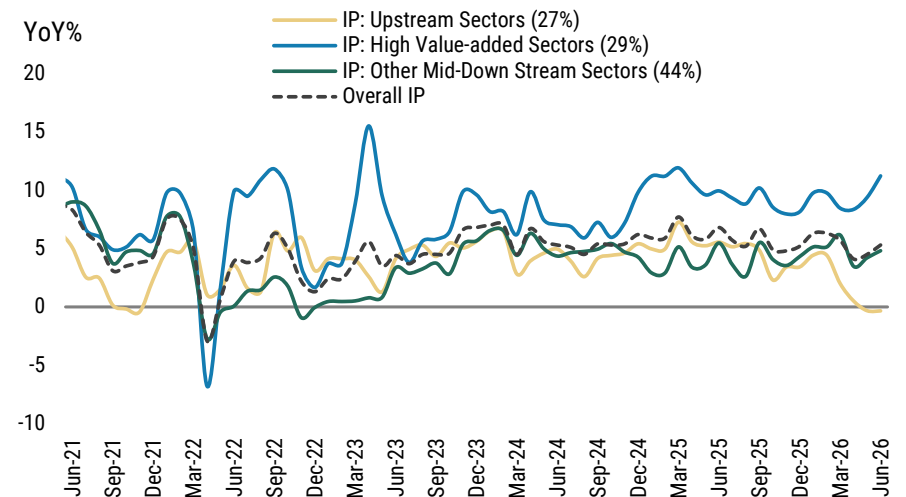
Economic Outlook

Deepening K-Shaped Economy: High-end Manufacturing/Exports Remain Solid

Exports remain resilient...



...lending support to industrial production

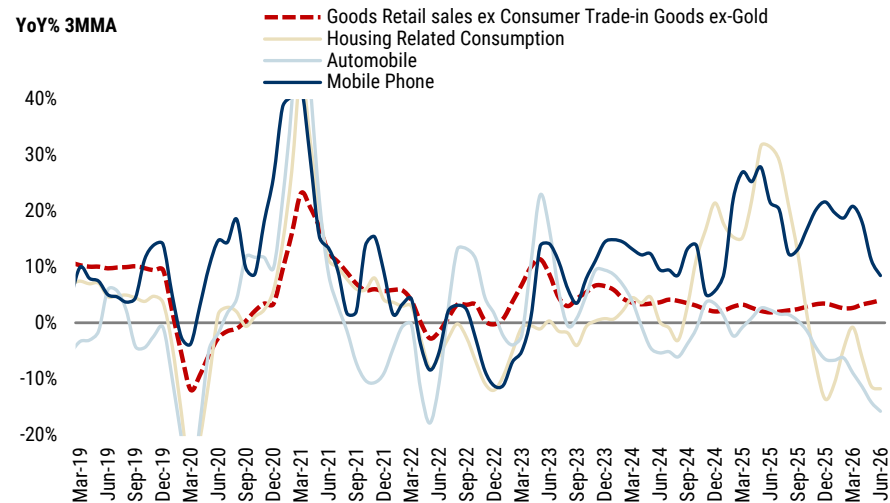


Source: CEIC, Morgan Stanley Research

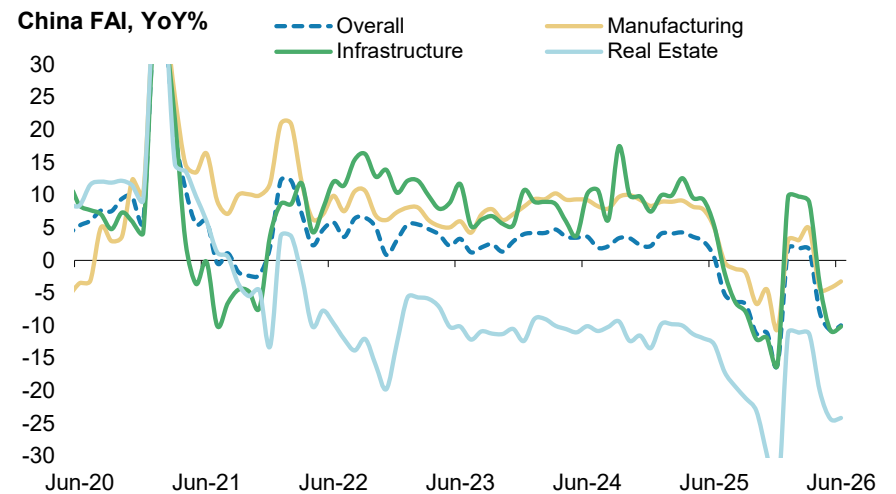
Economic Outlook

But Domestic Demand Remains Subdued

Moderating growth in trade-in related goods consumption against a high base



Investment is still constrained by local government debt dynamics, overcapacity and housing inventory overhang



Source: CEIC, Morgan Stanley Research

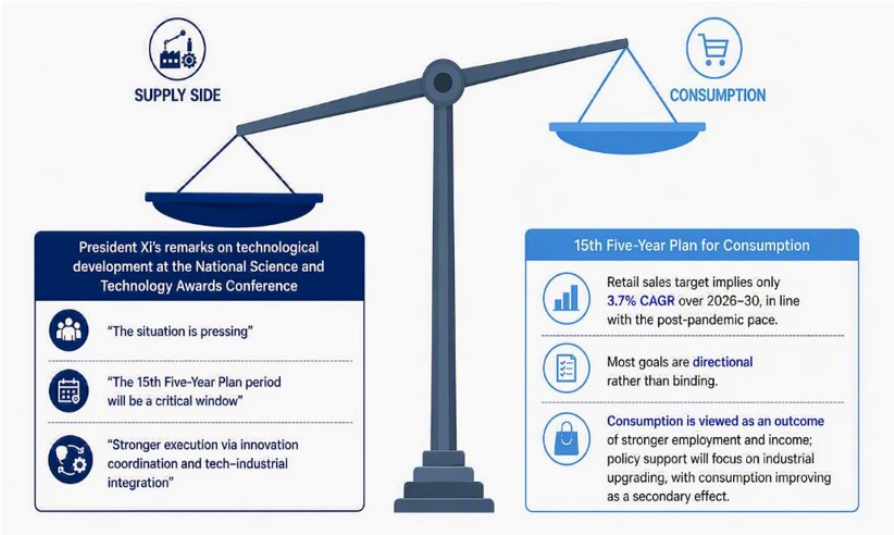
Near-term Policy Outlook

Politburo Preview: Faster Execution, No “Bazooka”

What to expect

Policy to remain supply-centric

	Politburo Meeting Readout	
	Apr 2026 Meeting	July 2026 Meeting Preview
Economic Assessment	Economy off to a strong start, key indicators better than expected	Recognize some downside pressure in the economy
Policy Stance	Targeted and effective policy implementation	Faster budget rollout, not budget expansion
Policy Priorities	Supply-centric, with a focus on AI+ and energy security	Likely unchanged



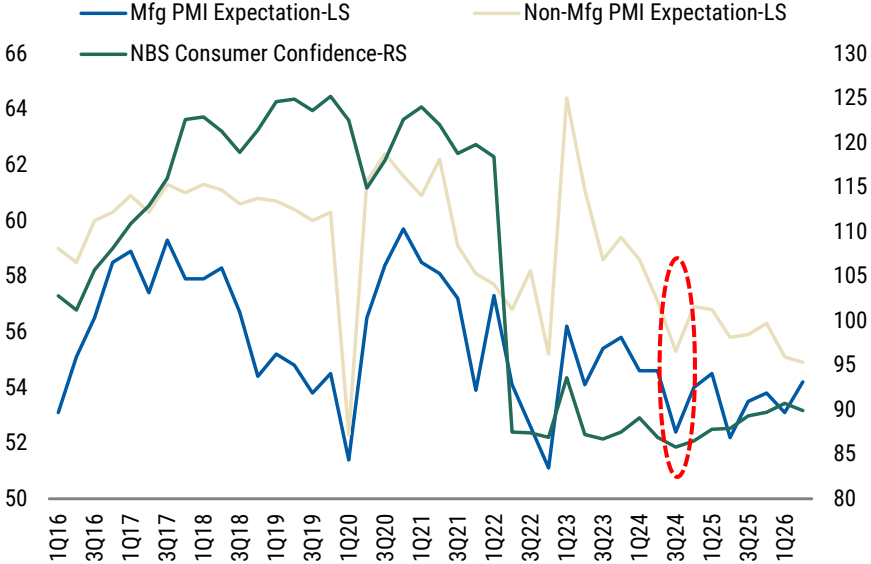
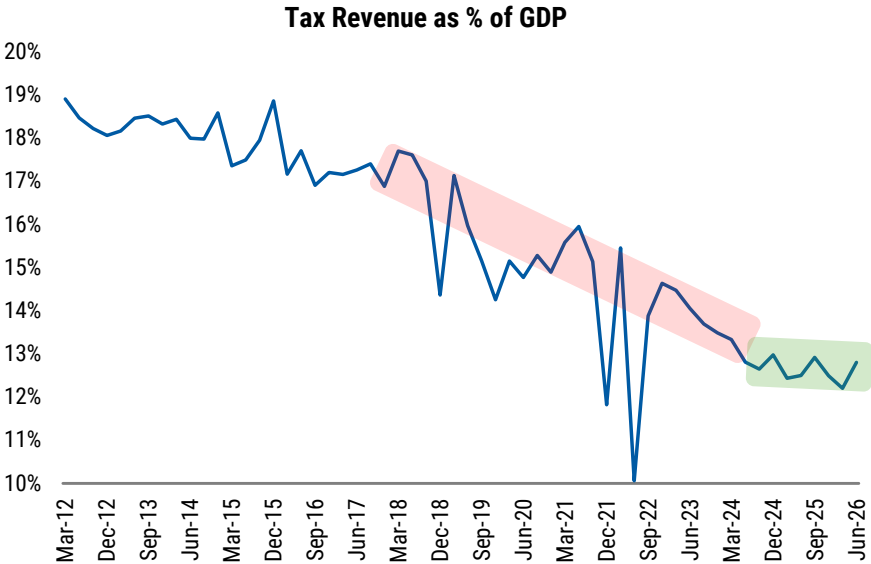
Source: CEIC, Morgan Stanley Research estimates

Near-term Policy Outlook

Not a September 2024 Style Pivot Yet – #1: Stabilized Government Financing

Government financing has stabilized, somewhat

Social dynamics are above their trough

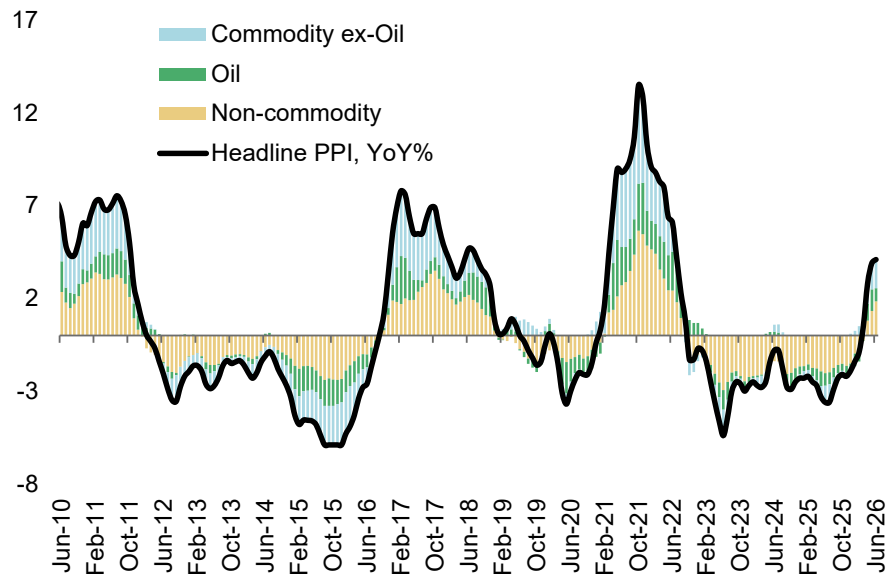


Source: MoF, CEIC, Morgan Stanley Research

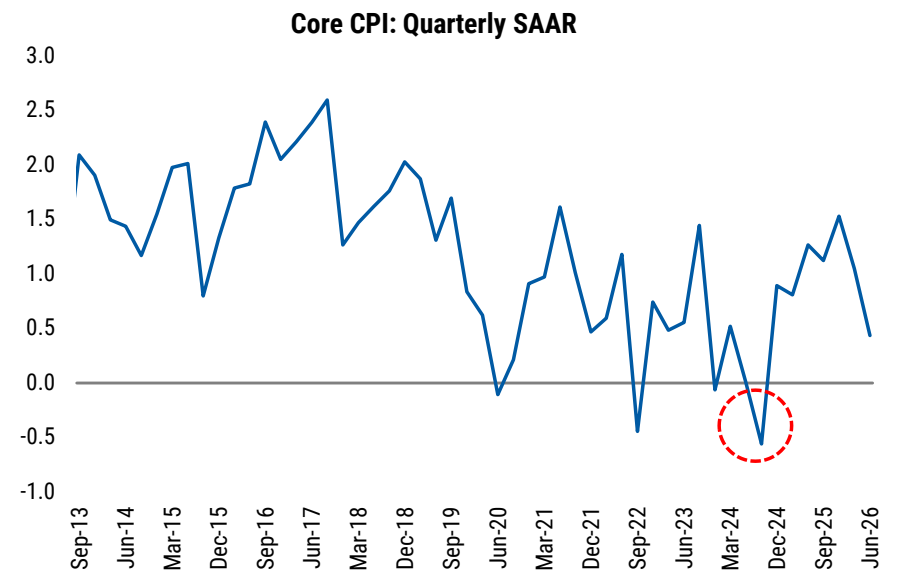
Near-term Policy Outlook

Not a September 2024 Style Pivot Yet – #2: Deflation Has Eased Off Its Worst

PPI has exited multi-year deflation, helped by AI demand and imported cost pressures



Core CPI has rebounded sharply since 3Q24, though it has moderated YTD

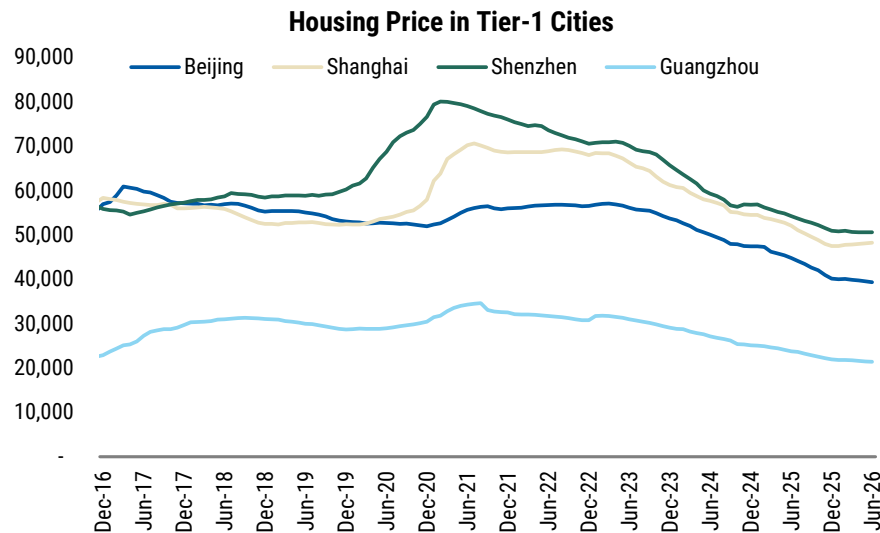


Source: CEIC, Morgan Stanley Research

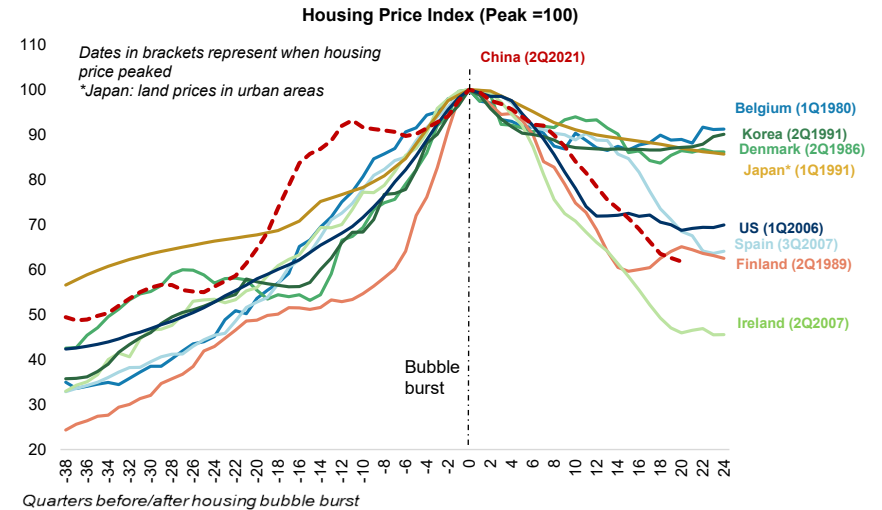
Near-term Policy Outlook

Not a September 2024 Style Pivot Yet – #3: Housing Correction Is Moderating

A few top-tier cities have shown signs of stabilization...



...even though the broader market remains in a downward trend



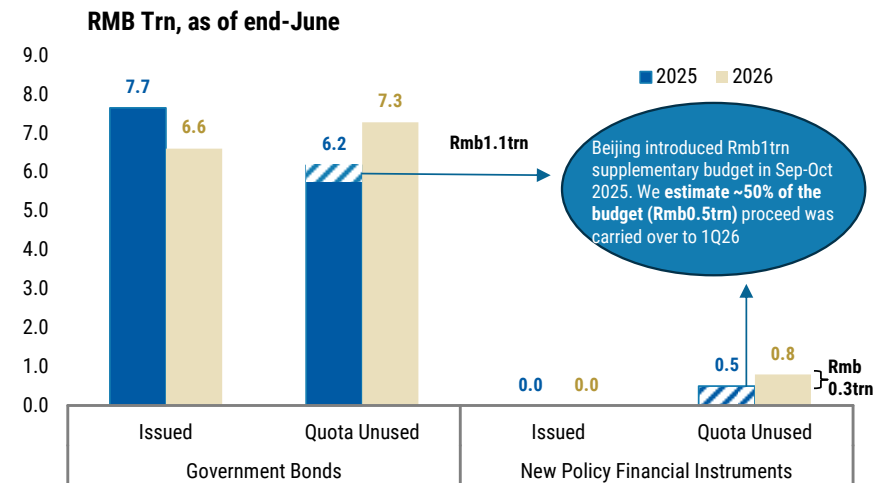
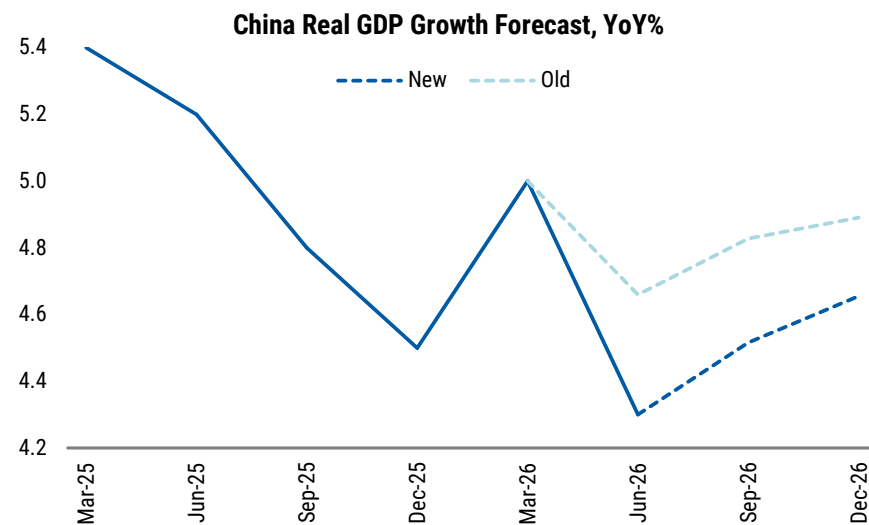
Source: BIS, Bingshan, Morgan Stanley Research

Near-term Policy Outlook

Not a September 2024 Style Pivot – Yet #4: Growth Remains within Target

1H GDP growth was within official target, while 2H growth will be anchored by AI- and export-led industrial activities

~Rmb2trn of unused in-budget fiscal and quasi-fiscal impulse for the second half of the year



July and August will provide an important test of both the economy and policy delivery. If activity and policy implementation still fail to improve by September, the likelihood of additional easing should rise.

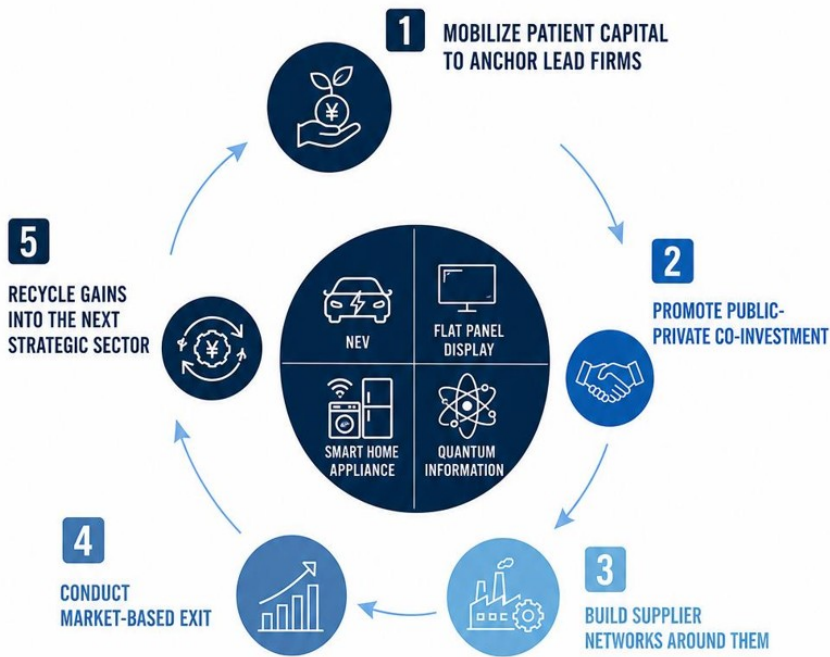
Source: CEIC, Morgan Stanley Research estimates

Gradual Rebalancing

Industrial Policy: Lessons from the “Hefei Model”

Hefei’s recipe for success: ecosystem planner, not blanket subsidy provider

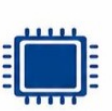
The city has cultivated national and global champions in advanced manufacturing



#1&2 in China’s Key Industries

 NEV	 Flat Panel Display	 Smart Home Appliance	 Quantum Information
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Global leadership

 PV Inverter Shipments #1 in the World	 Color-sorting Machines #1 in the World	 Energy Storage Shipments #2 in the World	 DRAM Chip Production #4 in the World
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Note: Ranking is based on local major companies

Source: Morgan Stanley Research

Gradual Rebalancing

But Hefei Model Is Difficult to Replicate

Where does Hefei's success come from?



ITS SUCCESS RELIED ON A RARE ALIGNMENT OF THREE FACTORS



TIMING

Made bold early bets when strategic sectors were still fragmented.



BOLD EARLY BETS

Committed significant patient capital to anchor future leaders.



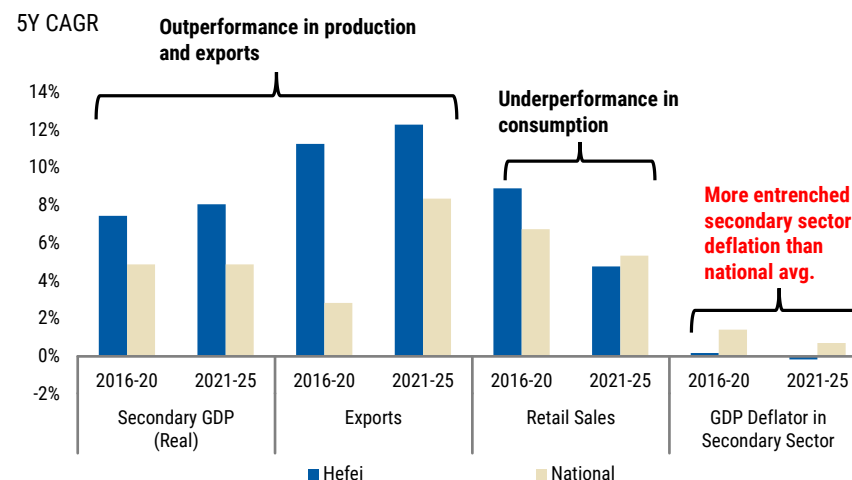
LOCAL INDUSTRIAL FIT

Matched investments with Hefei's industrial strengths and ecosystem.



A rare combination—not easy to replicate.

Even Hefei itself is not immune to overcapacity and deflation problems



If many regions imitate the same surface tools — large upfront government seed capital and buildup of industrial parks, and focus on the same frontier sectors, it may compound the overcapacity problem nationwide

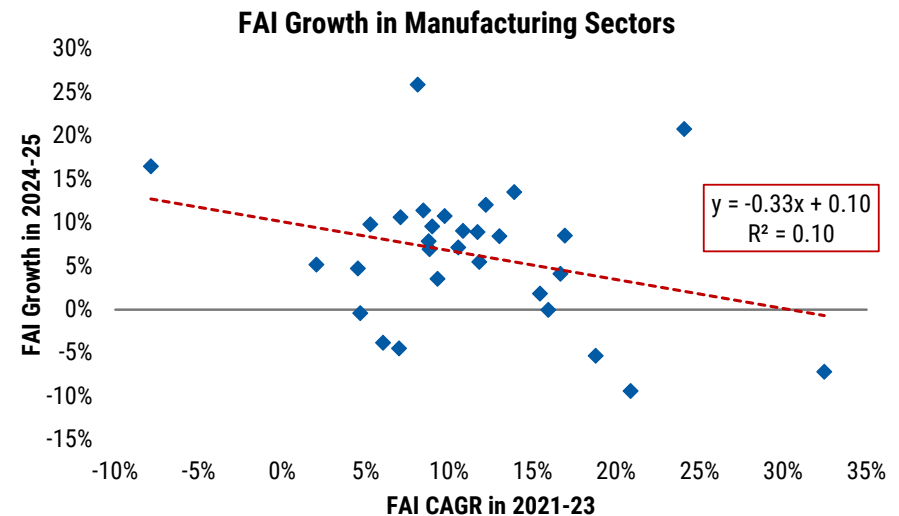
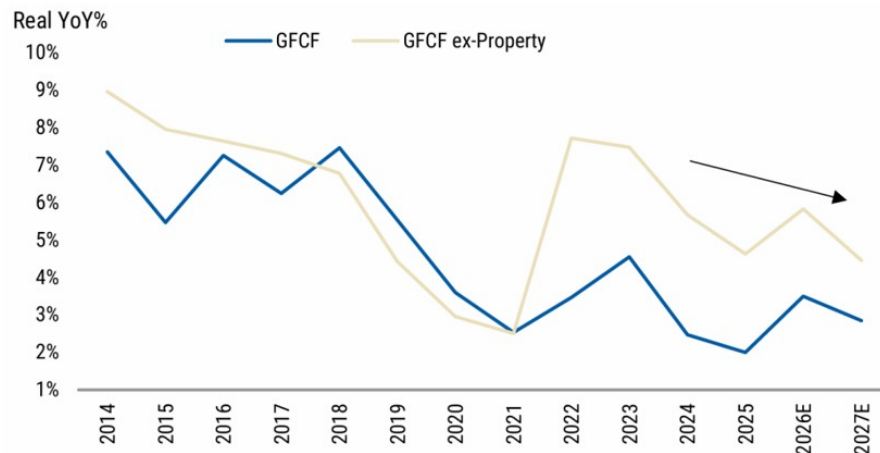
Source: CEIC, Morgan Stanley Research

Gradual Rebalancing

Smarter Industrial Policy Alone May Not Narrow Supply-Demand Imbalances

Investment ex-property growth slowed from 2021-23's spike, but only at a modest pace

The "baton" of investment has been passed from sectors with overcapacity to those with less oversupply, for now



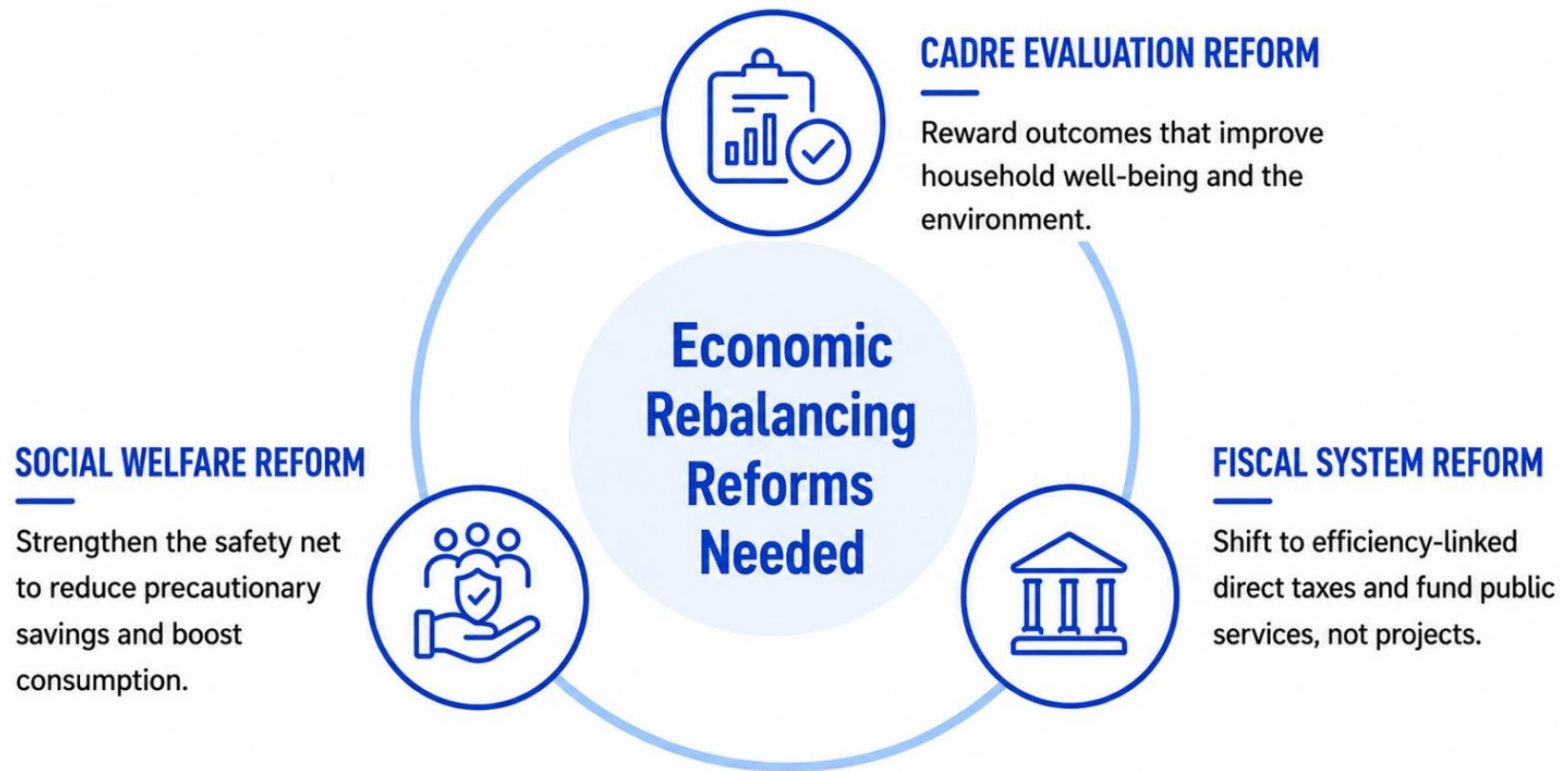
“National unified market” and anti-involution are right in direction, but challenging to implement:

- Cross-regional capacity coordination is difficult; market-based mechanisms needed to guide local specialization are still underdeveloped
- Local incentives misaligned
- Tax system biases production

Source: CEIC, Morgan Stanley Research estimates

Gradual Rebalancing

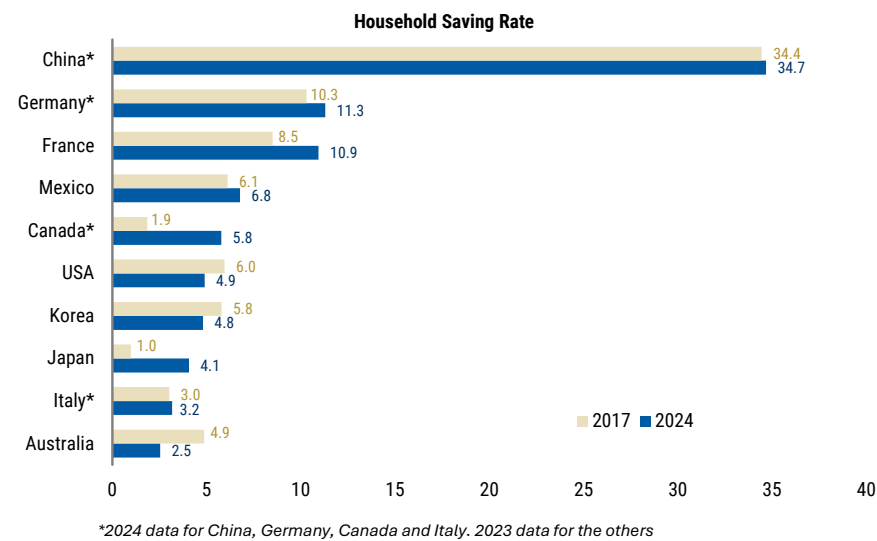
Reforms Are Needed to Alleviate the Overhang from Legacy Issues



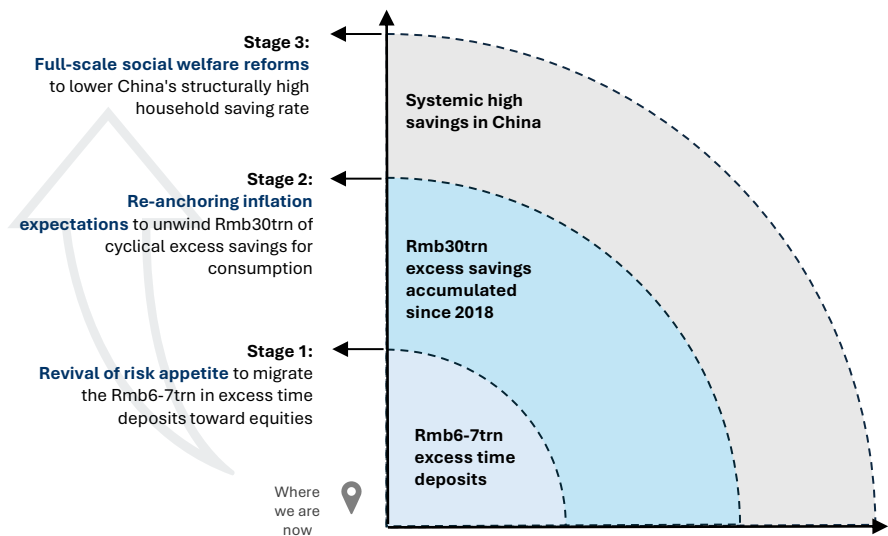
Source: Morgan Stanley Research.

Gradual Rebalancing
Unlock China’s Household Savings...

China’s household saving rate remains elevated



A three-stage roadmap to unwind household savings

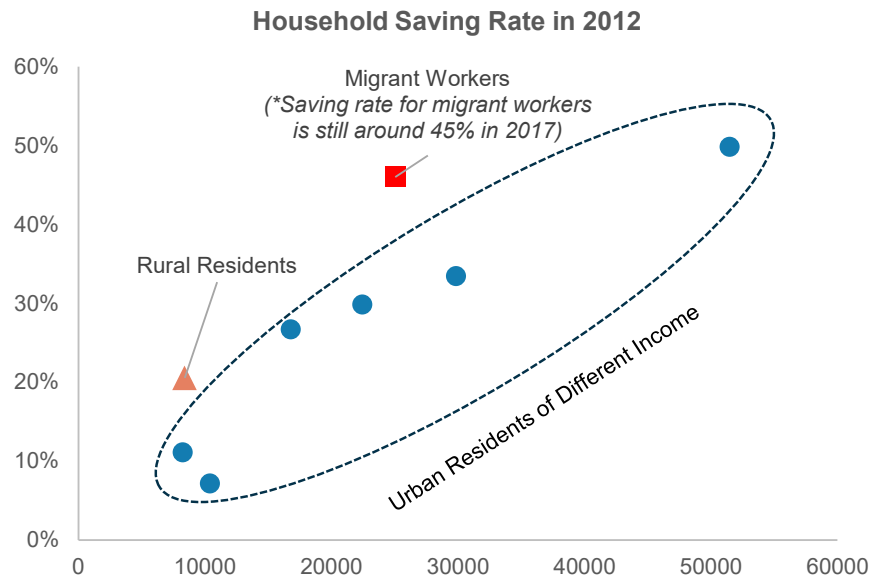


Source: Haver, OECD, Morgan Stanley Research.

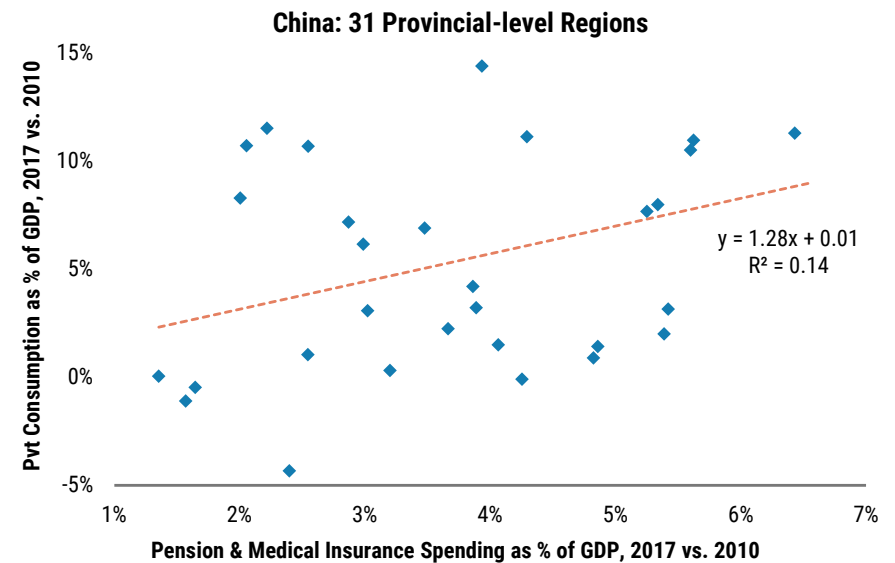
Gradual Rebalancing

...with Social Welfare Reform

Income redistribution toward lower-income households that exhibit a higher marginal propensity to consume



Provincial data show rising social welfare spending associated with higher consumption share in GDP

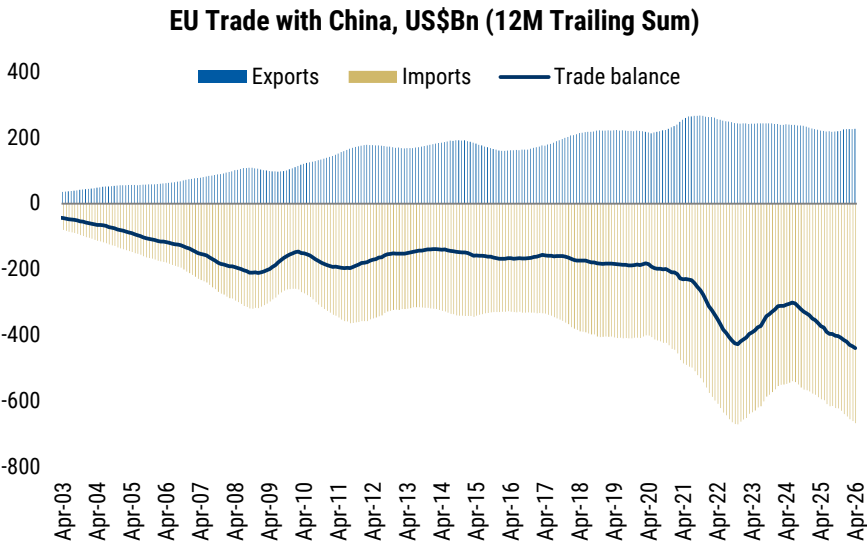


Source: CEIC, Morgan Stanley Research.

Geopolitics: China-EU

EU Reacts to Rising Trade Deficit with China

Widening trade deficit with China...



...raising concerns within the EU

Latest remarks from EU

READ-OUT: COLLEGE ORIENTATION DEBATE
29 MAY 2026

- DE-RISKING, NOT DECOUPLING.
- CHINA IS A PARTNER, BUT THE STATUS QUO IS NOT SUSTAINABLE.
- NEED A MORE ROBUST AND COHERENT RESPONSE.

G7 LEADERS' STATEMENT
17 JUNE 2026

- SHARED INTEREST IN TACKLING THE CAUSES OF LARGE AND PERSISTENT GLOBAL IMBALANCES.
- WE'LL KEEP WORKING TOGETHER IN THE G20 AND OTHER KEY FORA.

EUROPEAN COUNCIL CONCLUSIONS
19 JUNE 2026

- BOOST EU COMPETITIVENESS & STRATEGIC AUTONOMY.
- BUILD RESILIENCE, SECURITY & DRIVE INNOVATION.
- RENEW INDUSTRY. CUT DEPENDENCIES. INVEST IN INNOVATION.

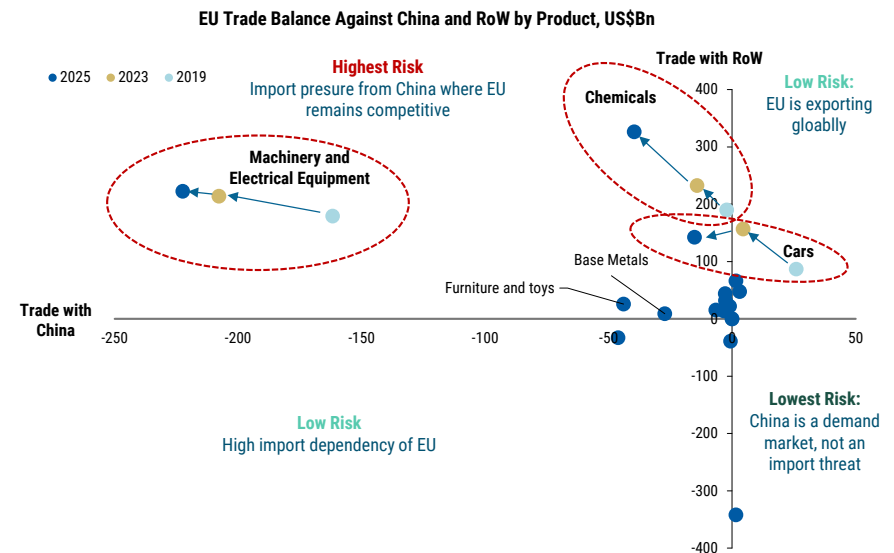
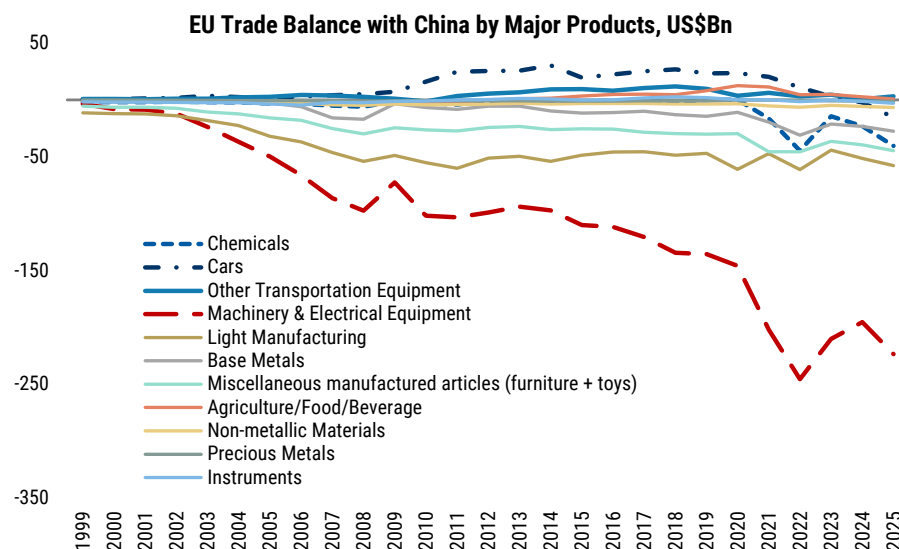
Source: CEIC, Morgan Stanley Research

Geopolitics: China-EU

Potential China-EU Trade Pressure Points

An (increasingly) larger deficit with China shows where the pressure is, or will be

The overlay would be Europe's own competitiveness that it wants to defend



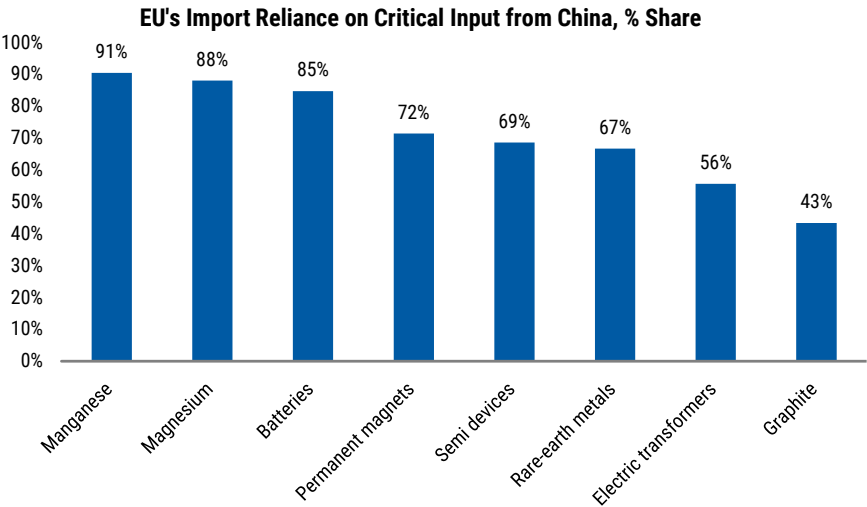
Source: CEIC, UN Comtrade, Morgan Stanley Research

Geopolitics: China-EU

Future Path: Navigating Preferences, Dependencies and Choke Points

Risk of China-EU trade friction escalation remains manageable

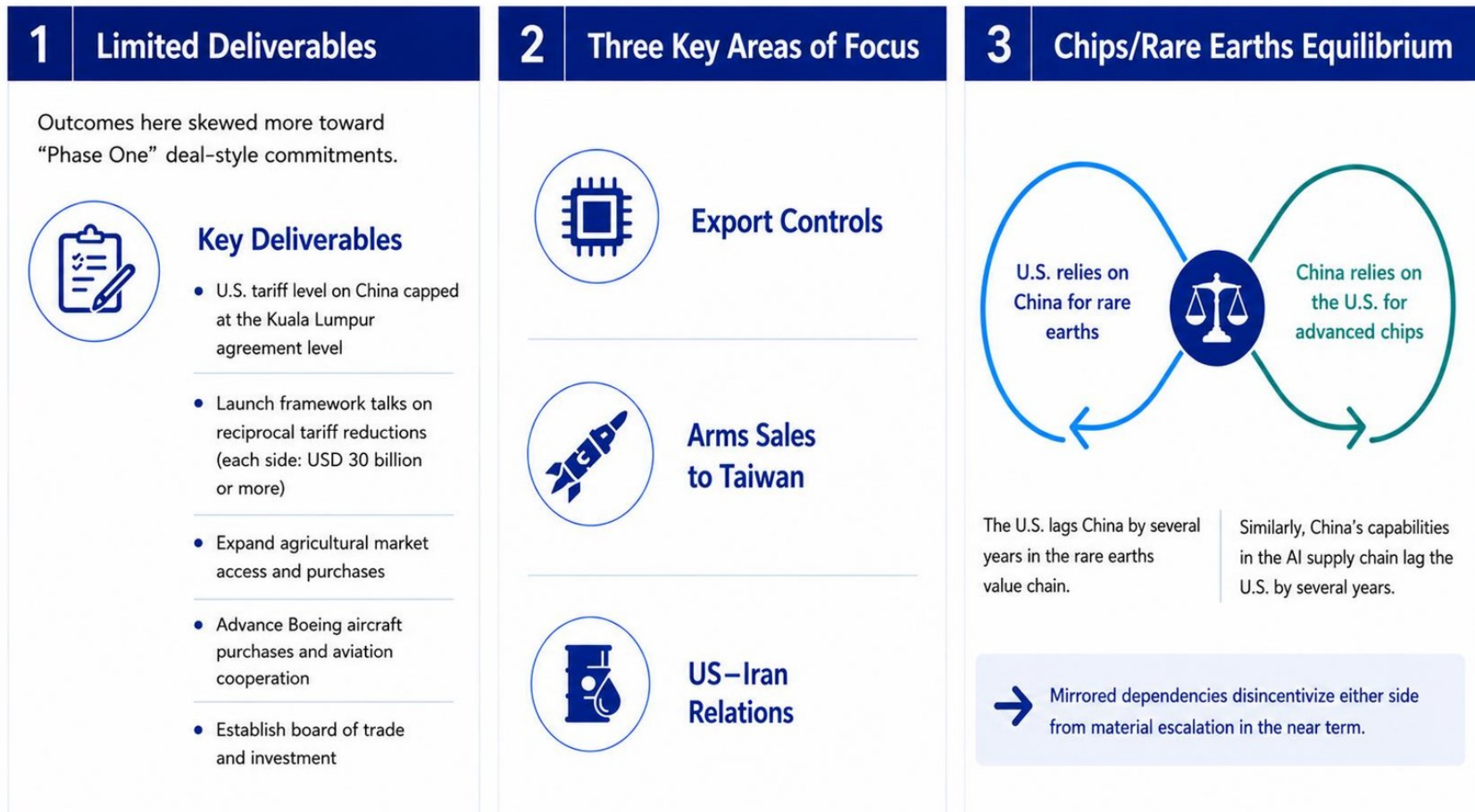
The EU relies on China for critical inputs



Source: UN Comtrade, Morgan Stanley Research

Geopolitics: China-US

"Limited Truce+": Modest Trade/Investment Measures, Selective Cooperation



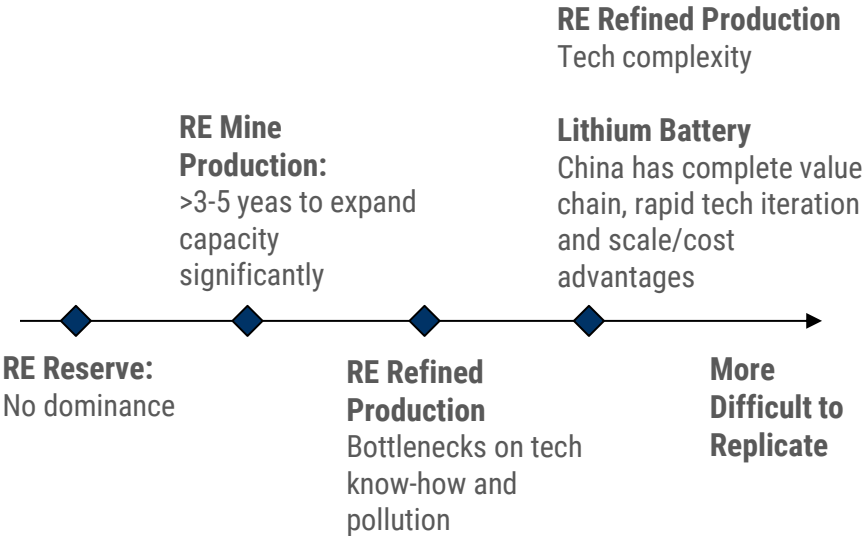
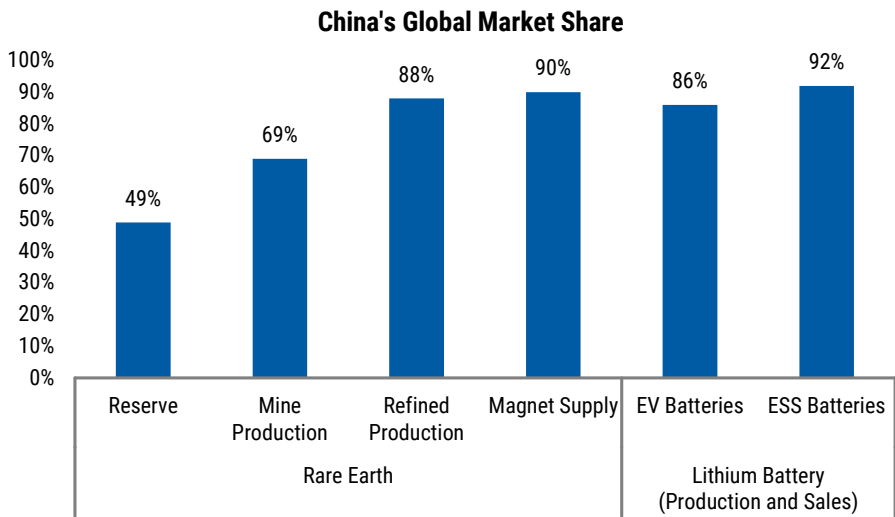
Source: Government website, Morgan Stanley Research. For more details, see [US/China Summit: Managing the Relationship](#) (18 May 2026).

Geopolitics: China-US

Strategic Stability Underpinned by Chips/Rare Earths Equilibrium

China’s global dominance in rare earths and lithium batteries

How durable is China’s dominance?



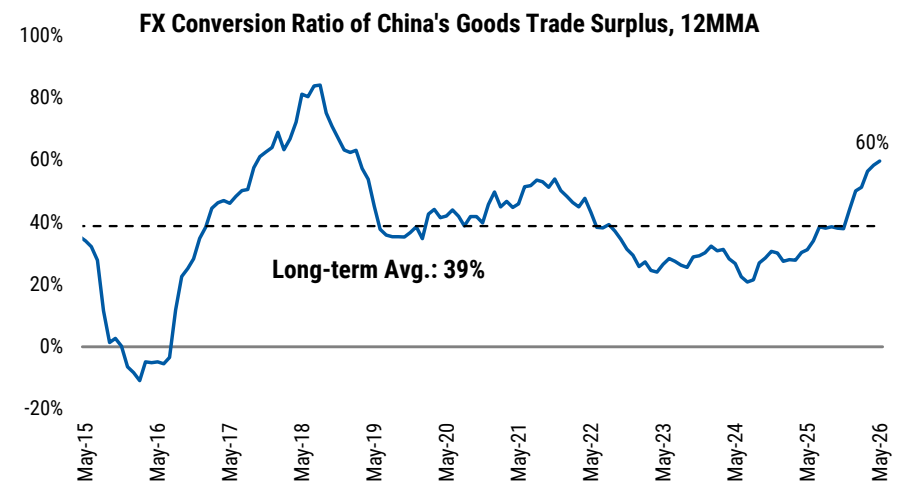
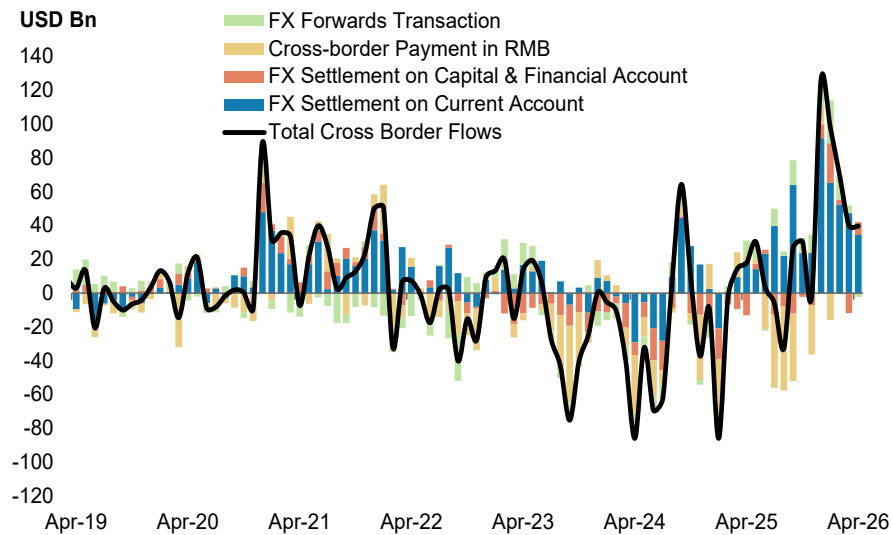
Source: US Department of Energy, company data, EV tank, SNE, Morgan Stanley Research.

Capital flows and RMB

Rewiring Outbound Investment to Safeguard BoP Stability

China's capital flows have been increasingly driven by portfolio investment

Overtightening may risk discouraging trade proceed conversion back to RMB

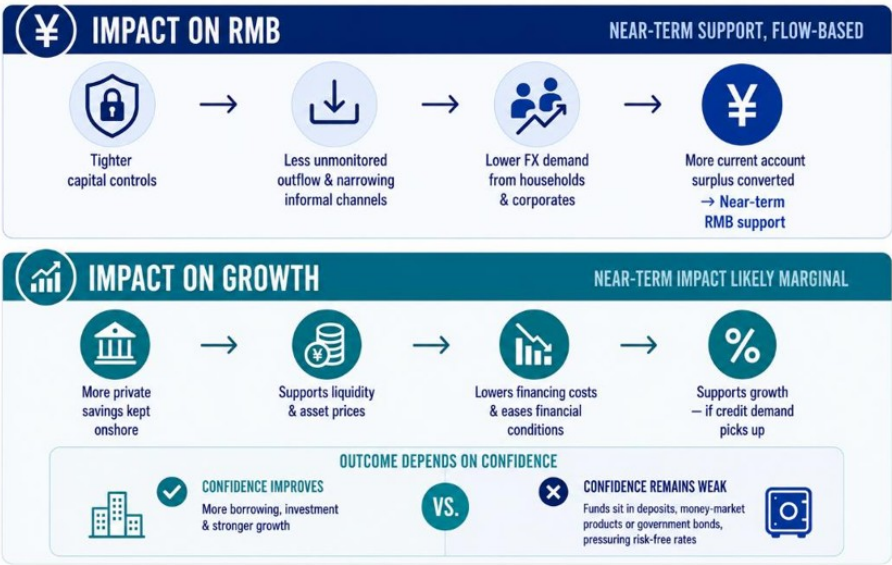


Source: CEIC, Morgan Stanley Research

Capital flows and RMB

Implications: Near-term Support for RMB, Marginal Impact on Growth

Regulatory impact on RMB and growth

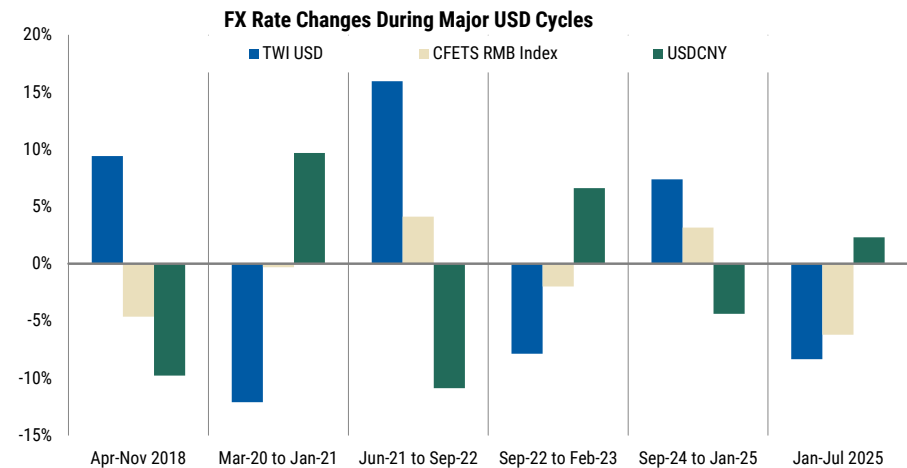
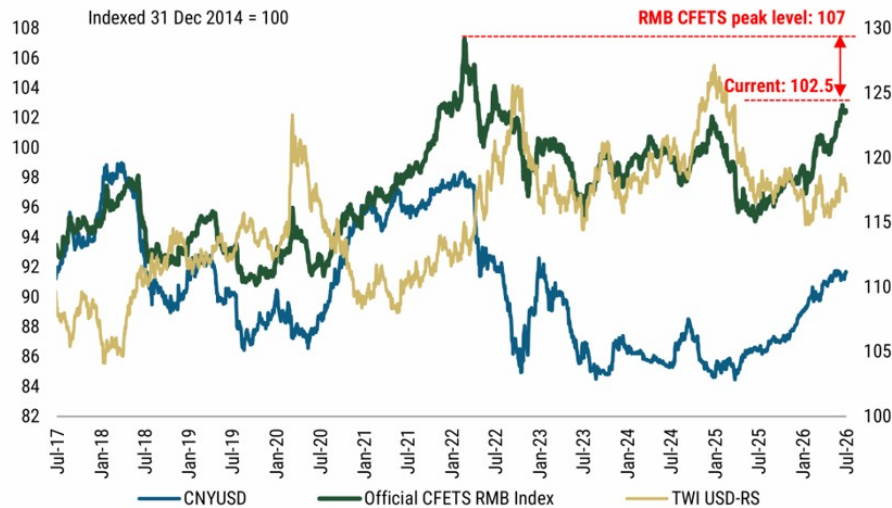


Capital flows and RMB

PBoC Unlikely to Rely on RMB Appreciation to Address Economic Imbalances

The major RMB catch-up phase is likely behind

How the PBoC managed RMB moves in the past

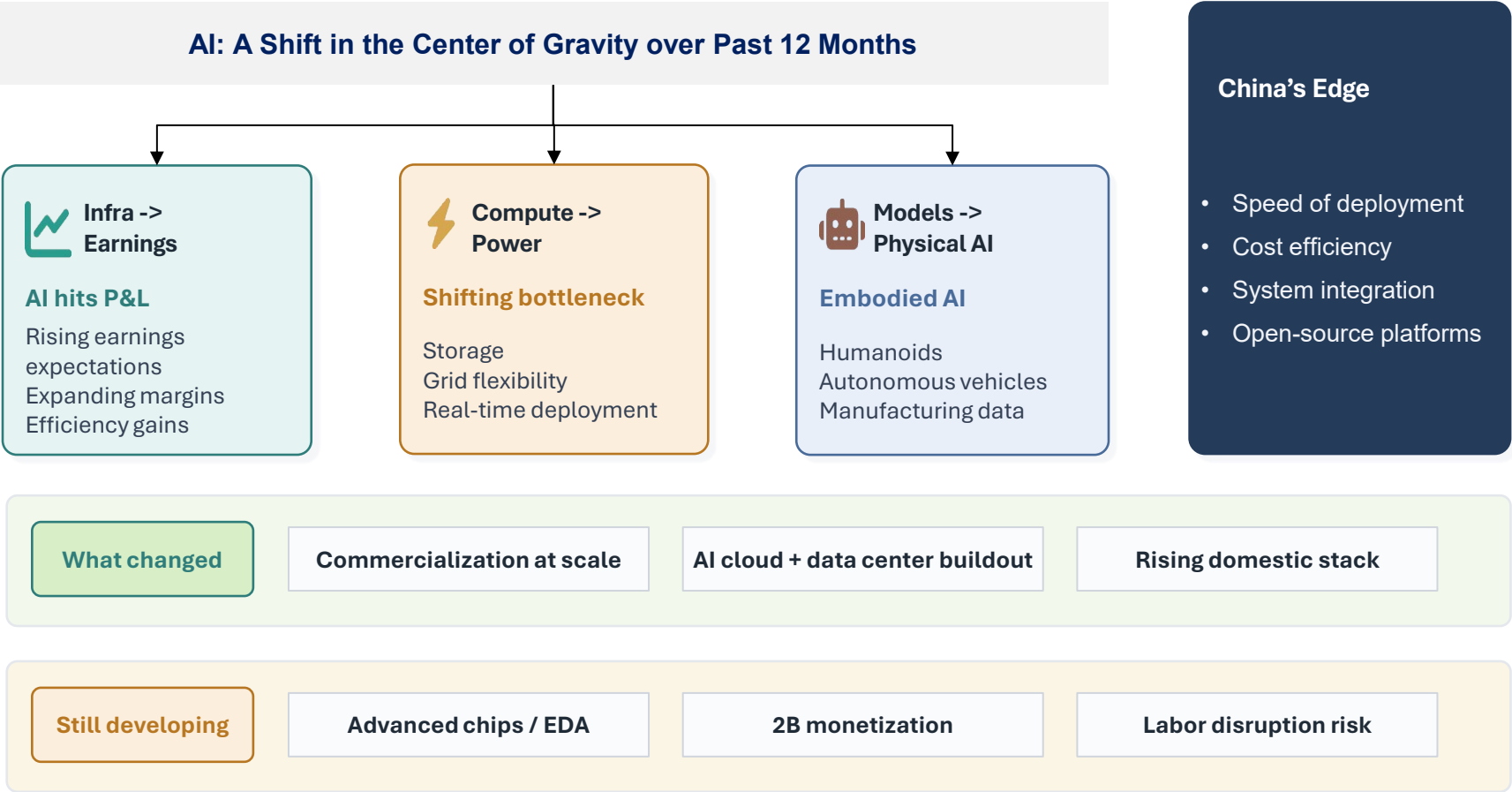


We maintain our call for USD/CNY at 6.75 by end-2026, with near-term scope to move toward 6.70.

Source: Bloomberg, CEIC, Morgan Stanley Research estimates.

AI Diffusion

China AI 2.0 – Entering a New Phase



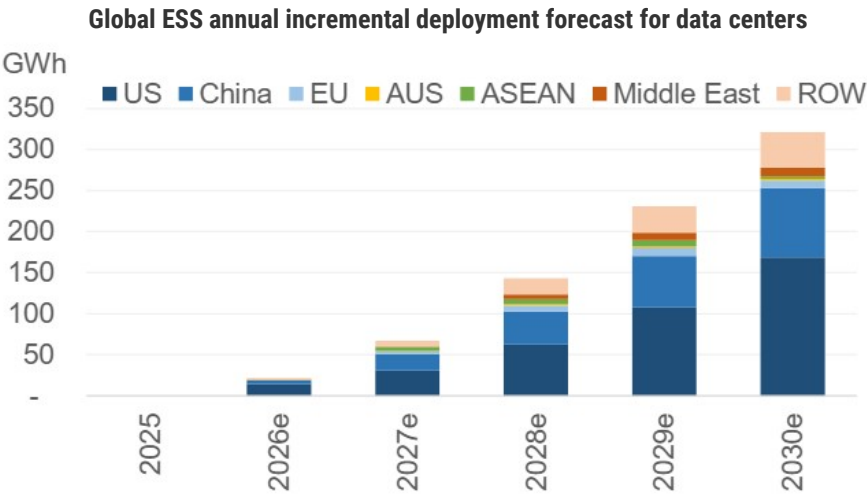
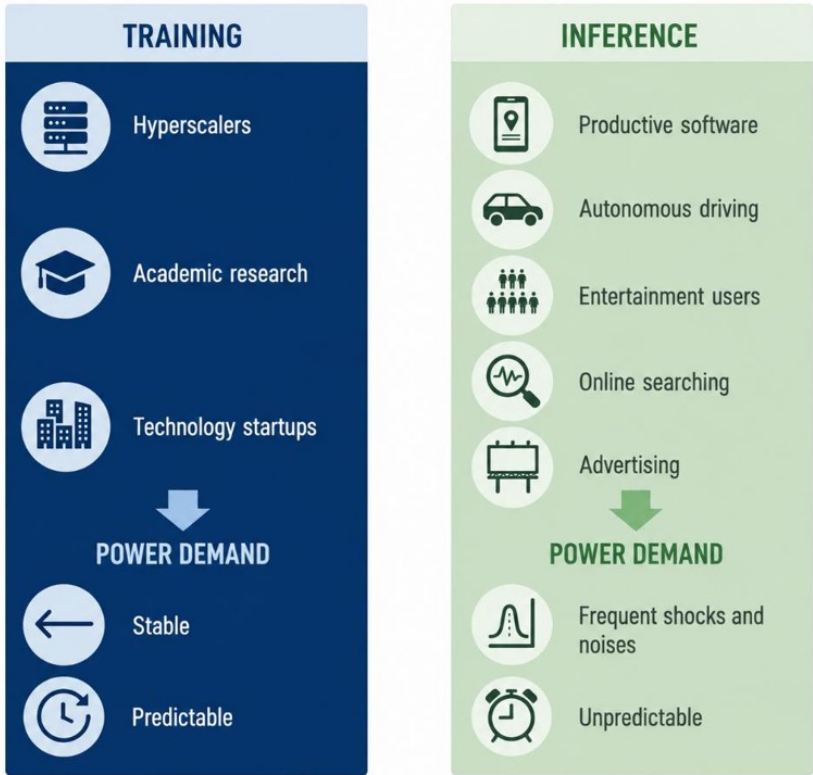
Source: Morgan Stanley Research.

AI Diffusion

Key Developments in Strength #1: Power

Power consumption shifting from training workload to inference...

...making opportunities for the energy storage system (ESS)



Source: Rystad, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

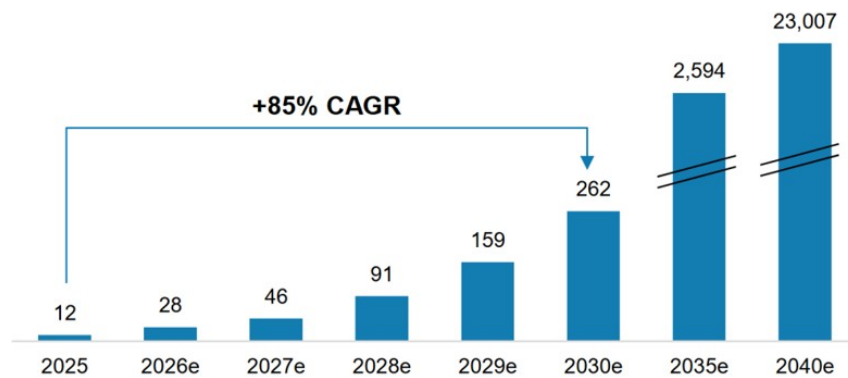
AI Diffusion

Key Developments in Strength #2: Humanoids

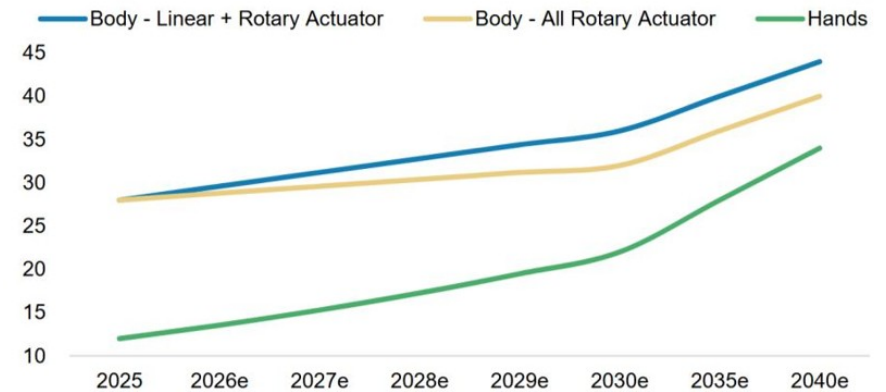
Our China Industrials team has revised its humanoid sales estimate to 28k units for 2026...

...and expects humanoids to be eventually more capable, accomplished by an increasing degree of freedom

China Humanoid Sales ('k unit)



Humanoid Degree of Freedom (DoF) Trend

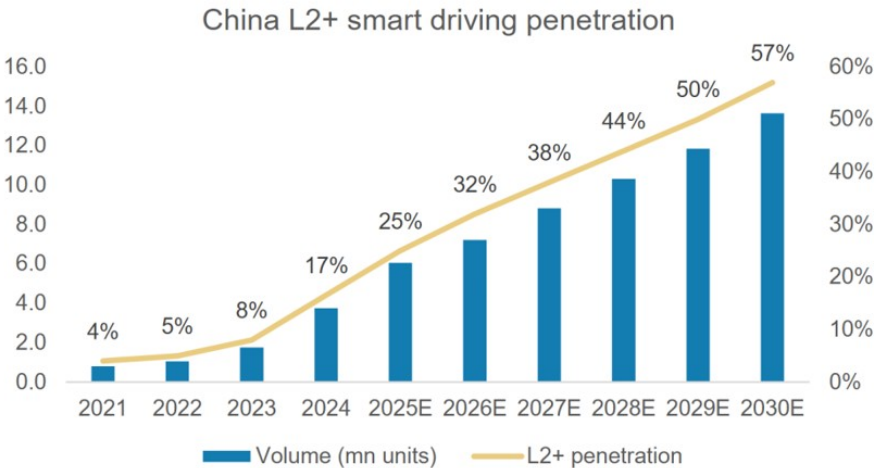


Source: Morgan Stanley Research estimates. For more details, see [2026 Outlook – Humanoids: Commercialization \(21 January 2026\)](#).

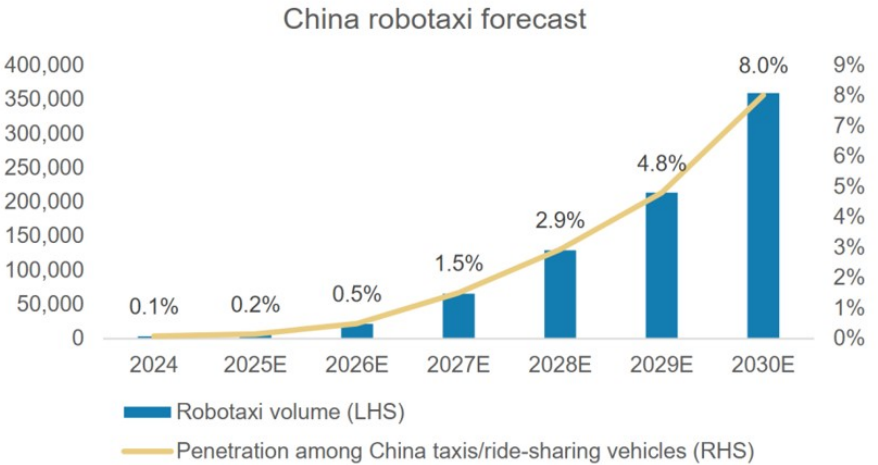
AI Diffusion

Key Developments in Strength #3: Autonomous Driving

Our China Autos team expects L2+ smart driving penetration to reach 32% in 2026 and 50%+ in 2030 (vs. 25% in 2025)



China's robotaxi fleet size to reach 360-400k units by 2030, accounting for 8% of total taxi/ride-sharing fleet size



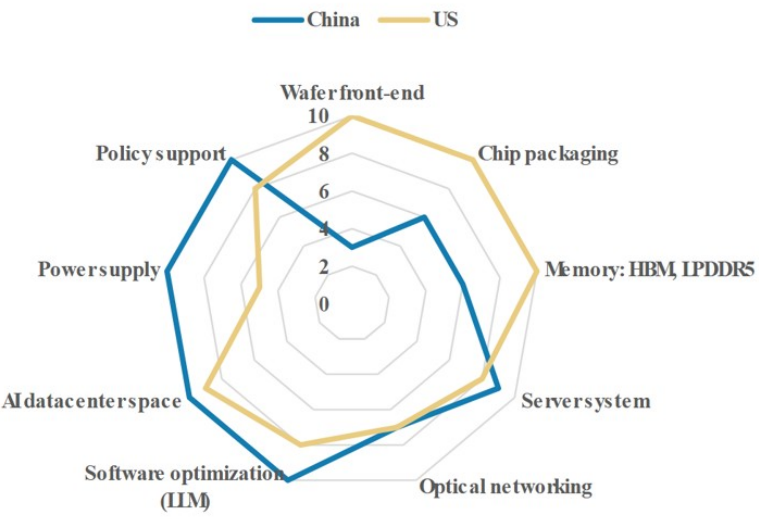
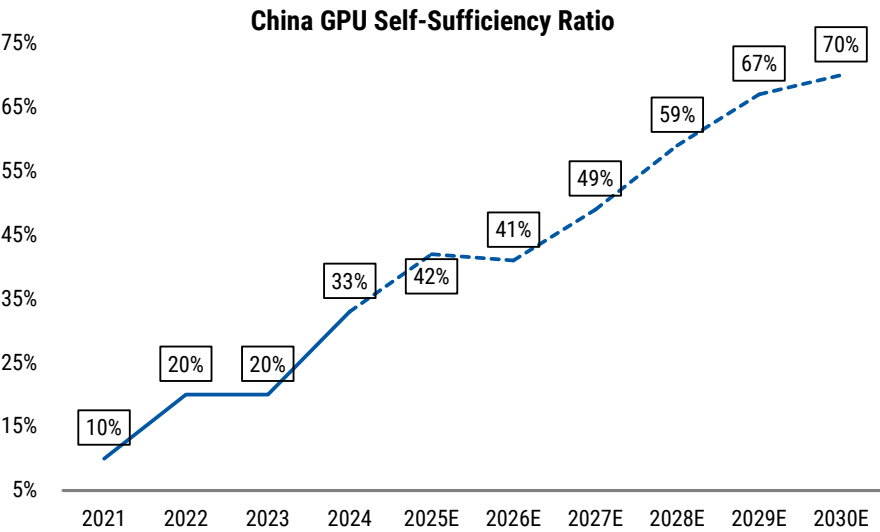
Source: NT Times, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

AI Diffusion

China AI Enabler

China’s AI chip self-sufficiency is likely to reach 70% in 2030

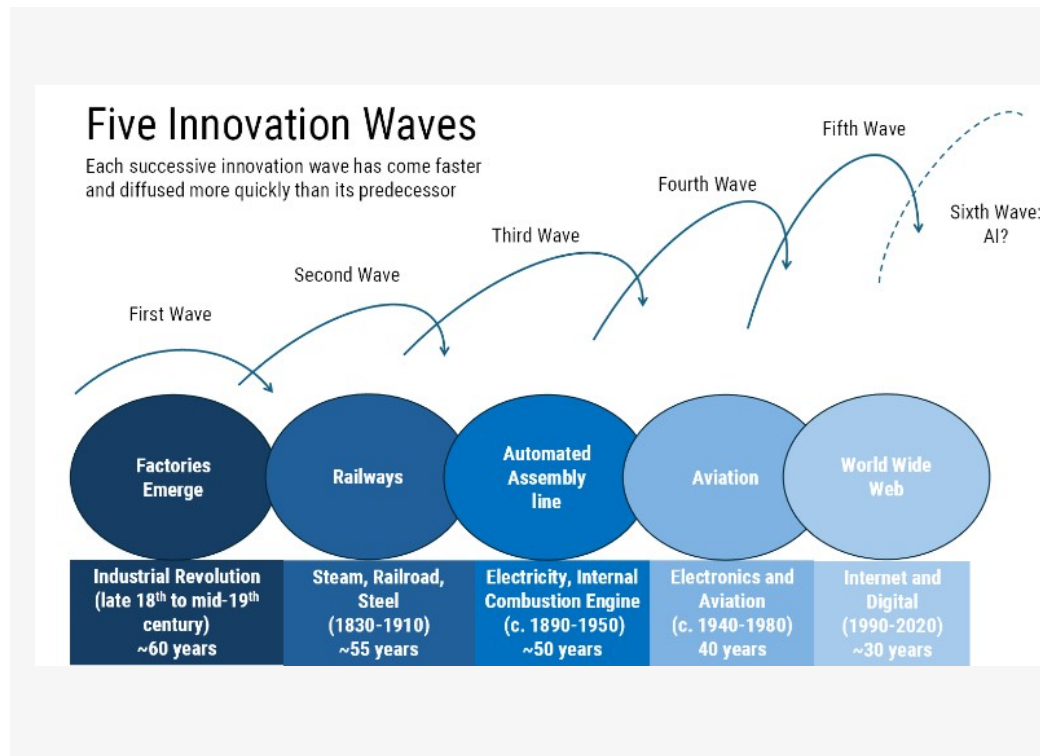
Relative strengths of US and China AI industries



Source: Company data, Morgan Stanley Research estimates. For more details, see [China AI 2.0 – Entering a New Phase \(10 May 2026\)](#).

AI Diffusion

AI Impact: Lessons from the Five Innovation Waves



01 Productivity gains are likely

02 Labor Displacement Is Transitional

03 Boom-Bust Cycles Are Probable

04 Inequality Risks Are Elevated

05 Education and Re-skilling Will Be Decisive

06 Policy Matters

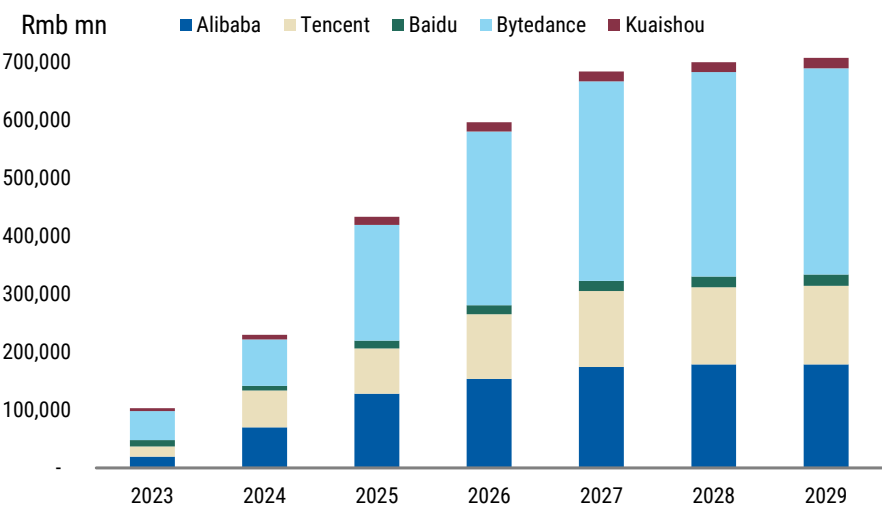
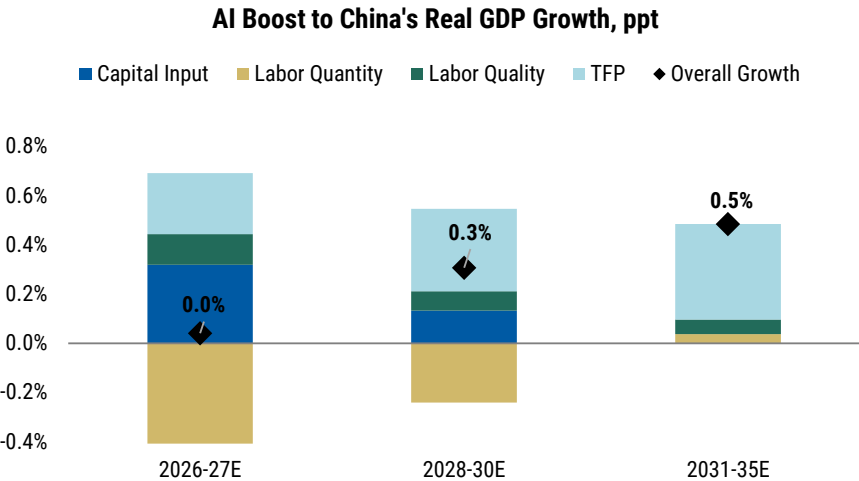
Source: Morgan Stanley Research. For more details, kindly see [Lessons from the Five Innovation Waves That Preceded AI \(6 April 2026\)](#).

AI Diffusion

What Rapid AI Diffusion Means for China's Economy

AI's impact on China's GDP growth:
Near-term neutral, long-term positive

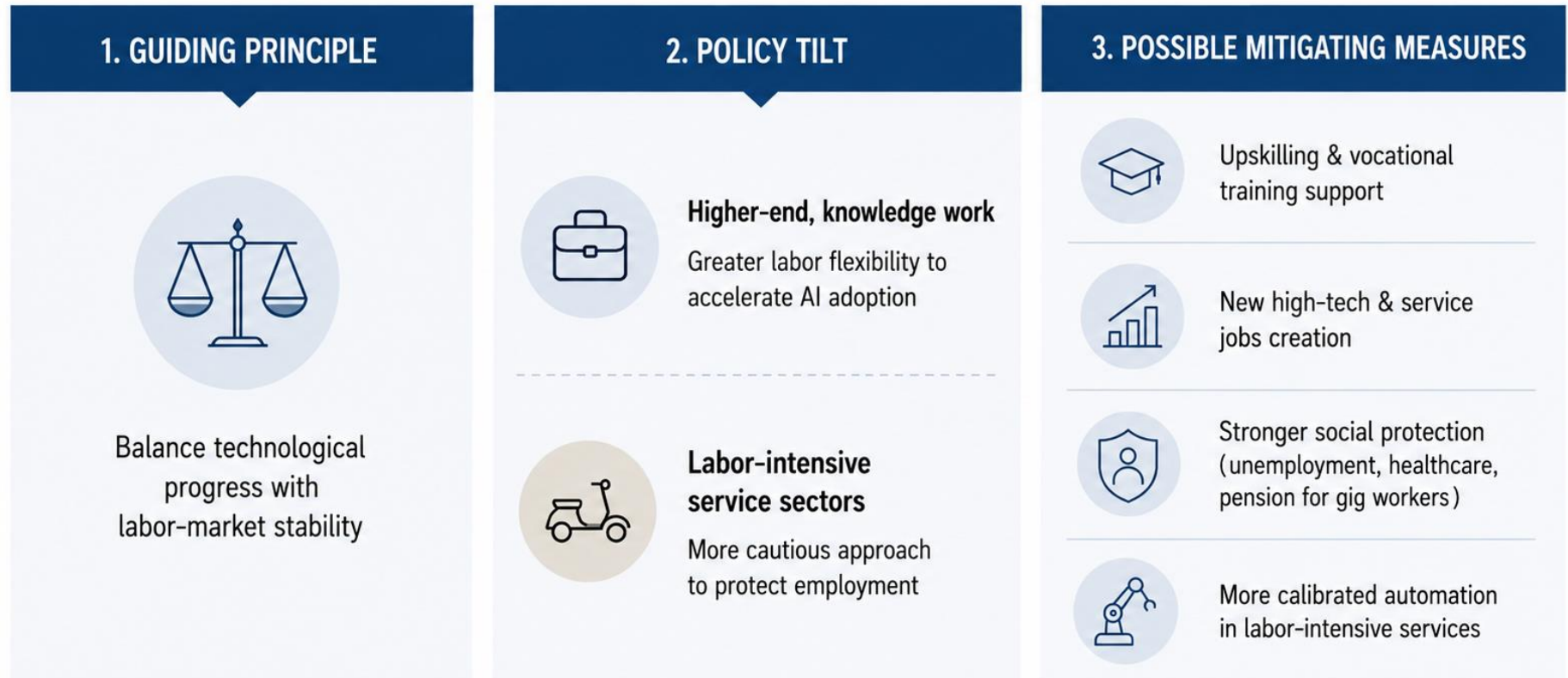
Hyperscalers to step up AI-related capex significantly
in the next two years



Source: CEIC, company data, Morgan Stanley Research estimates.

AI Diffusion

What to Expect on Policy Mitigation



Source: Morgan Stanley Research.

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